



Summary of Good to Great

Original book by Jim Collins

In *Good to Great*, former Stanford business professor Jim Collins offers a primer on turning the average into the exceptional. Through detailed case studies of 11 companies that went from tracking the market to exceeding it by at least 3x, Collins presents the key factors that separate merely good organizations from great ones—from rare leadership to disciplined thinking to the dogged pursuit of a core mission.

Whether you're an entrepreneur, a manager, or just an individual looking to improve, the concepts in *Good to Great* provide food for thought—and spurs to action. You'll learn what it takes to be a "Level 5" leader, why assembling the right team is more important than having the right idea, why you should be more like a hedgehog than a fox, and why "stop doing" lists are as important as "to do" lists. We'll also revisit the companies that Collins included in his research and compare his ideas to those of other business and leadership experts.

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1-Page Summary

The follow-up to *Built to Last*, Jim Collins's classic study of 18 of America's enduring companies, *Good to Great* leverages a 20-person research team, dozens of interviews, and thousands of pages of documents to answer two questions: Can a *good* company become a *great* one? And, if it can, *how*?

Collins is a researcher, consultant, and speaker, and was a faculty member of Stanford University's Graduate School of Business. He was included in *Forbes'* 100 Greatest Living Business Minds and ranked #41 in the Thinkers50 list. In addition to *Built to Last*, he's written a number of best-selling books, including *Great by Choice* and *How the Mighty Fall*. *Good to Great* was published in 2001.

In the book, Collins examines 11 companies that went from tracking the market to exceeding it by at least 3x. Our guide outlines his methodology and breaks down the key factors that separate merely good organizations from great ones. We'll also explore one of Collins's central concepts: flywheels versus doom loops. Since the book was published 25 years ago, we'll revisit the companies that Collins included in his research to see if they've found enduring success. We'll also compare the author's ideas to those of other business and leadership experts.

Methods

To identify clear examples of good-to-great transitions, Collins and his team searched for companies with 15-year returns equal to or below the general market that, **after a distinct transition point, recorded 15-year returns at least three times better than the general market**. They found 11 companies that met this criterion.

Collins and his team then identified a "comparison company" for each good-to-great company. The criteria for comparison companies were that (1) they were similarly resourced and situated as their relative good-to-great companies, and (2) their returns remained at or below the general market return after the transition point.

The researchers also examined six "unsustained comparisons"—companies that beat the market after the transition point but failed to sustain those results across the full 15-year threshold.

Criticisms and Collins's Response

Collins treads familiar ground in *Good to Great*, using a method similar to the one he employed in his first book, *Built to Last* (1994): He and coauthor Jerry I. Porras compared high-performing companies to competitors that didn't have the same level of success over a set period of time. The objective was to find commonalities between the enduring companies and unlock the secrets behind sustained greatness. But while both *Built to Last* and *Good to Great* have sold millions of copies and were included on *TIME's* list of the 25 Most Influential Business Management Books, some experts are skeptical of Collins's work.

In *The Halo Effect*, business professor Phil Rosenzweig details the "business delusions" espoused by magazines and management books, including those by Collins. Rosenzweig and other critics argue that Collins's research often relies on retrospective accounts, interviews, and media coverage, which can be colored by perceptions of success. Critics also point out that selecting companies already known to perform well risks attributing causation to traits that follow from success rather than drive it.

Others suggest that luck or randomness could explain many of the patterns Collins identifies, and that the book has [deluded some CEOs](#) into thinking that success is simply a matter of following a formula.

For his part, Collins [emphasizes the rigorosity of his research](#). He also stresses that his findings show correlations, not definitive causes, and presents them as evidence-based observations for readers to consider thoughtfully, rather than as prescriptive or universally predictive rules.

The Companies

The 11 companies Collins describes as having gone “from good to great” are listed below. Comparison companies are in parentheses, followed by the companies’ industries.

- Abbott (Upjohn) – Health Care
- Circuit City (Silo) – Retail
- Fannie Mae (Great Western) – Financial Services
- Gillette (Warner-Lambert) – Consumer Goods
- Kimberly-Clark (Scott Paper) – Household and Personal Products
- Kroger (A&P) – Retail
- Nucor (Bethlehem Steel) – Steel
- Philip Morris (R.J. Reynolds) – Tobacco
- Pitney Bowes (Addressograph) – Business Services
- Walgreens (Eckerd) – Retail
- Wells Fargo (Bank of America) – Banking/Financial Services

(Shortform note: A review of the [companies’ stock performance over 22 years](#) after the book’s publication shows whether they’ve stood the test of time. Nucor, Abbott, Kroger, Kimberly-Clark, and [Philip Morris](#) continue to perform well. Wells Fargo is holding steady, though it has [faced numerous financial scandals](#) over the years. Pitney Bowes and Fannie Mae both saw a decline over the 22-year period, Gillette was acquired by Procter & Gamble, and [Circuit City filed for bankruptcy](#) in 2008. [Walgreens, like other retail pharmacies, is struggling](#). Most of the comparison companies no longer exist—either due to mergers, acquisitions, or bankruptcy—but [Bank of America weathered big challenges](#) and is still going strong.)

Unsustained comparisons:

- Burroughs – Business Services
- Chrysler – Automotive
- Harris – Aerospace and Defense (previously Business Services)
- Hasbro – Toys/Entertainment
- Rubbermaid – Manufacturing
- Teledyne – Conglomerate (Electronics, Aerospace and Defense)

(Shortform note: Almost all of the unsustained companies no longer exist in their original form after having merged with or been acquired by other companies. The exception is [Hasbro](#), which is still a dominant player in its industry. Some notable developments are its [acquisition of Entertainment One](#), which holds the *Peppa Pig* franchise, and Hasbro’s [partnership with Netflix and Mattel](#) to produce a range of toys for the 2025 hit movie *KPop Demon Hunters*.)

What Distinguished the Great Companies From the Good Ones?

According Collins, the great companies **followed six essential principles** that led to their sustained success:

1. Cultivating Singular Leadership*

Collins says that the first principle behind good-to-great companies is that they have “Level 5” leaders. He explains that there are five levels of contributors in a company:

- **Level 1:** A capable individual contributor
- **Level 2:** A productive team member
- **Level 3:** An effective manager
- **Level 4:** A leader who can inspire subordinates
- **Level 5:** An exceptional leader

Collins describes Level 5 leaders as humble, almost shy, but highly driven professionally. They avoid the limelight and tend to credit external forces or colleagues for their companies’ successes. Although they’re often likable and inspiring, they’re not usually “charismatic.” Their lack of ego enables them to **concentrate on the company’s success, not their own.**

Another Take on the Five-Level Framework

Similar to Collins, John C. Maxwell also calls exceptional leaders “Level 5” leaders in [The 5 Levels of Leadership](#). However, Maxwell’s five levels differ slightly from Collins’s. The main difference is that Collins doesn’t view those at the lower levels *as* leaders:

How to Achieve It

Maxwell adds that a Level 5 leader is [focused on leaving a legacy](#) by developing Level 4 leaders so that the organization continues to thrive after they’re gone. While Maxwell doesn’t detail specific personality traits the way Collins does, both authors write that a Level 5 leader is focused on making a lasting impact and ensuring a company’s long-term success.

Collins acknowledges that Level 5 characteristics are likely a product of both nature and nurture, and so are difficult to create out of whole cloth; he also doesn’t have hard data to back up any suggestions he might make. His best advice for aspiring Level 5 leaders is to follow the other principles he outlines. That way, even if you *aren’t* a Level 5 leader, you’ll at least be acting like one.

(Shortform note: Unlike Collins, in [The 5 Levels of Leadership](#), Maxwell gives a few practical tips for [acting like a Level 5 leader](#). First, give others the opportunity to lead. Second, create an environment that breeds leaders. Third, think of the possibilities for your organization and make them happen. Fourth, surround yourself with a trusted group of fellow leaders who can keep you in check. Lastly, think about how you can use your influence to benefit others and leave a legacy that goes beyond your organization.)

2. Assembling the Right Team

The second principle behind good-to-great companies is they recruit and retain the right people *before*

embarking on any specific program. Collins argues that when good people come on board before a new direction is unveiled, they're signing on because of *who else* is on board. This means that if the company has to change direction down the road, these team members will stick with you—because it was never about the direction in the first place.

(Shortform note: Like Collins, entrepreneur Dan Sullivan says that finding the right people is crucial to success. In *Who Not How*, he writes that putting the right people in place saves you time and energy by allowing those with the right expertise to tackle specific tasks. However, while Collins says that you should have people in place *before* starting a program, Sullivan argues that you should *first have a clear vision and purpose* before building a team. Additionally, other experts say that if you do have to change the company's direction, it's not enough to rely on team dynamics to carry you through—you should also *clearly communicate changes*, recognize how they affect your team, and make an effort to motivate and retain top talent.)

Collins adds that a good-to-great team is composed of people who care deeply about the company and will argue passionately for the decisions they believe are right (but will come together to support whatever decision is eventually reached). At all costs, avoid the “genius with a thousand helpers” model; **management teams should be composed of independent and critical thinkers, not “yes people.”**

(Shortform note: In *The Fearless Organization*, Amy C. Edmondson says many companies rely on a fear-driven management approach that discourages employees from speaking up or, as Collins says, turns them into “yes people.” To address this, Edmondson says you should establish a *psychologically safe* culture that encourages people to speak openly and honestly. To *create a psychologically safe workplace*, she advises building employees' trust, communicating the value they bring to the company, redefining failure as an opportunity to improve, having forums where employees can speak up, and listening and responding thoughtfully to their input.)

How to Achieve It

To assemble the right team, Collins offers the following tips:

- 1) Don't hire until you're sure you have the right person. (Shortform note: In *Built to Last*, Collins and Porras say that the “right person” is someone who's *aligned with the company's core philosophy* and has a good cultural fit.)
- 2) Recognize when you need to make a change (whether by shifting a role or letting someone go) and act swiftly. (Shortform note: The authors of *First, Break All the Rules* agree that it's necessary to move or let go of poor performers to keep them from dragging down the group. However, they also acknowledge that doing so isn't easy and that it *requires “tough love”*: Being *tough* means having high standards and consistently holding people to those standards. Showing *love* means setting people up for success, which includes recognizing when they're not well-suited to a role and letting them know that their talents are a better fit for another position.)
- 3) Assign your best people to your biggest opportunities rather than your biggest problems. That might mean taking a top performer away from a thriving division and transferring them to one you're aiming to grow. (Shortform note: Amy C. Edmondson offers a different perspective, saying you should make use of the best people for your biggest problems through *teaming*. In *her book* of the same name, she says that “teaming” means bringing people together in temporary groups that can collaborate effectively and flexibly, tapping into their expertise to respond to specific challenges. She says it's an *alternative to traditional teamwork*, which can be too rigid for today's fast-changing environment.)

3. Unearthing and Facing Facts

Collins says the third principle that makes good-to-great companies successful is that leaders are unflinching in the face of facts, no matter how dire—leaders remain stoic yet hopeful, and realistic without turning cynical. Collins adds that in order to respond to facts in this way, leaders cultivate a culture in which facts can be discovered and expressed without fear of reprisal or blame.

(Shortform note: In *Principles*, Ray Dalio says you might deny the facts and shut yourself off from self-reflection because *you want to protect your ego*—your underlying desire to be seen as capable. This leads to spontaneous, emotionally driven reactions, rather than well-thought-out decisions. You might also see the world through your own biased lens, causing you to have *blind spots*. To get over these two hurdles, Dalio says you should *be totally receptive* to the possibility that others might see something better than you. You must also create a culture that *refuses to compromise the truth* to skirt people's egos and emotions.)

For example, in the 1970s, Kroger and A&P were well-established grocery companies that were similarly positioned to take advantage of a new customer demand for a one-stop shopping experience. But whereas Kroger saw the demand for “superstores”—establishments that sold conventional groceries as well as prepared foods and nutritional supplements—and overhauled all their stores, A&P stayed the course. Over the 15-year period that Collins and his team evaluated, Kroger generated 80 times the returns of A&P. Collins says A&P had the facts: It rolled out an experimental superstore that was a success, but management chose to stick to what worked for the company in the past rather than adjust to a changing marketplace.

(Shortform note: A&P's decision to keep doing what they were doing was *partly driven by a phenomenon called groupness*, the instinct to form in-groups and view outsiders with suspicion. Psychologists say that we naturally defend our group—sometimes by dismissing information, practices, or culture that comes from others. This tendency gets even stronger when a group works hard toward a goal and succeeds, reinforcing its boundaries and heightening its resistance to outside ideas. It comes into play in harmful ways not only in business—as A&P demonstrated by dismissing outside information—but also in *science* and *nature*.)

How to Achieve It

With the right management team—one comprising sharp, critical thinkers—the facts should never be in short supply. Collins says leaders can encourage truth-telling by:

1) Beginning meetings with *questions*, not *answers*. Leaders should ask their team tough questions to unearth information and insight. (Shortform note: What questions should you ask your team? Research reveals the *five kinds of questions* to help you unearth information and insight, and make better decisions. The first is *integrative*, which gives you a full picture of your situation. The second is *speculative*, which helps you think creatively. The third is *productive*, which clarifies the resources you have to help you move forward. The fourth is *interpretive*, which allows you to dig deeper into a problem and its implications. The fifth is *subjective*, which reveals your team's feelings and opinions.)

2) Cultivating, rather than stifling, debate among the team. Collins says that some executives solicit input from their team just to give them a sense of being heard, even though they're determined to pursue the direction they already had in mind. He says leaders should instead encourage dissent that has real implications on company strategy.

(Shortform note: In *Principles*, Dalio details the *two practices that ensure healthy debate* within his company. The first is *thoughtful disagreement*, which he describes as being open to other viewpoints and moving a conversation in a useful direction. He emphasizes that your goal is not to prove you're right, but

rather to find out which view is right and decide what to do about it. The second practice is fostering an environment where the best ideas win, no matter what the source. However, he concedes that you should give more weight to the opinions of people who are more credible in an area.)

3) Analyzing mistakes without assigning blame. Collins says evaluating failures in this way ensures that the same errors aren't made twice.

(Shortform note: To evaluate failures with a level head, reframe how you see them. In *Right Kind of Wrong*, Amy Edmondson says you should see them not as a cause for shame or punishment but simply as *results that differ from the desired outcome*. She adds that to *develop a healthy relationship with failure*, you need three things: *resilience*—the ability to push through embarrassment and frustration, and keep trying after a setback; *accountability*—recognizing and admitting to your role in a failure; and *reflection*—examining your failures so you can learn from them and view them as opportunities. Leaders who *model this behavior* and candidly discuss their own mistakes will encourage others to do the same.)

4. Thinking Like a Hedgehog

Collins says the fourth principle behind good-to-great companies is hedgehog thinking. He explains that people can be divided into *foxes* and *hedgehogs*: Foxes know many things and see the world in all its complexity, whereas hedgehogs know one *big* thing and order the world according to that thing. Leaders of good-to-great companies think like a hedgehog. (Shortform note: Some experts argue against rigidly adhering to hedgehog thinking. They reason that hedgehogs are single-minded and determined, but *foxes are agile*—they're more attuned to uncertainties and more readily adapt to a fast-changing environment. Thus, you should adjust your approach to the situation, or even try to *be both a fox and a hedgehog at the same time*.)

Collins adds that good-to-great leaders develop a **"Hedgehog Concept"—an elegant, easy-to-understand guiding philosophy based on facts**—that the company adheres to fanatically. (Shortform note: Collins's Hedgehog Concept is similar to the Japanese concept of *ikigai*, or a person's reason for being. In *Ikigai & Kaizen*, Anthony Raymond explains that it *combines four elements*: what you love doing, what you're good at or willing to become good at, what benefits others, and what can make money. While *ikigai* is meant for your personal purpose, you can *apply the idea to an organization* by considering the company's intrinsic motivation, its core competencies and resources, and the needs of the market.)

For example, Walgreens' concept was to build the most convenient drugstores with the highest profit per customer visit in the industry. Once that was established, they built stores on corners rather than midblock, clustered stores in high-traffic areas, provided drive-through pharmacy services, and added highly profitable services like one-hour photo development. In contrast, its competitor Eckerd had no unifying concept for growth and even tried getting into the home-video industry, eventually leading to its collapse.

(Shortform note: Walgreens has since been in decline, with billions of dollars in losses and *1,200 stores shuttered in 2024*. As of 2025, it was also set to be *taken off the US stock market* after 98 years. But unlike Eckerd, its downfall wasn't caused by a lack of a unifying concept; rather, experts say it's *a combination of factors*, including losses due to theft, poor acquisitions, and shrinking profits as a result of competition as well as stricter insurance requirements.)

How to Achieve It

Collins says you can derive your company's Hedgehog Concept from the answer(s) to three questions:

Question 1: What can you do better than anyone else in the world? Collins says that if you can't be the best in the world in a particular area, even if it's your core business, then it can't be part of your Hedgehog

Concept.

(Shortform note: To help you determine if you can become the best in a particular area, [use your most formidable competitor as a benchmark](#). In *Playing to Win*, A.G. Lafley and Roger Martin say you should ask: “What are they doing that I’m not? How are they serving people better than I am? How can I overtake them?” Note that your strongest competitor might not be the most obvious one. For example, if you’re running a tech startup, your direct competitor in the beginning likely isn’t Google—it might be a much smaller company that’s targeting the same section of the market as you.)

Question 2: What’s your economic engine? Good-to-great companies have sharp insight into the fundamental economics of what aspect of their business will drive profits. The ones in Collins’s research formulated a single economic denominator, such as “profit per X,” and aligned their strategy around that ratio. The challenge was to define the correct X to produce the correct strategy.

(Shortform note: Collins’s economic engine identifies the long-term driver of profitability for a mature company. But if you’re running a startup, consider identifying *short-term* indicators that reflect whether your company is learning and progressing toward a sustainable model. In *The Lean Startup*, Eric Ries says you should identify [actionable metrics](#), which are the true drivers of a company’s growth and guide product development, customer acquisition and business viability. He warns against [using vanity metrics](#)—like total users or downloads—which look impressive but don’t meaningfully predict future success.)

For example, while banks used to focus on *profit per loan*, Wells Fargo changed tack in the era of deregulation and focused on *profit per employee*. (Shortform note: While this approach was successful during Collins’s research period, it may have contributed to the [Wells Fargo cross-selling scandal](#) in 2013: Bank employees, under pressure to meet aggressive sales targets, created millions of fake accounts for customers without their consent.)

Question 3: What are you passionate about? Collins says good-to-great companies certainly want to maximize profits, but they also choose opportunities that *inspire* their people. (Shortform note: In *Built to Last*, Collins and Porras write that visionary companies are able to maximize profits while pursuing other objectives. This is because they don’t limit themselves with the view that they *must* choose between seemingly contradictory choices A or B. Instead, they figure out [how to have A and B](#). For example, they don’t choose between change *or* stability, or investing in the long-term *or* doing well in the short-term; they find a way to achieve both.)

5. Maintaining Discipline

The fifth principle behind good-to-great companies is that they create and maintain discipline, meaning they constantly refer to and consistently realize their Hedgehog Concepts. Collins contends that rigorous adherence to a Hedgehog Concept saves companies from panic acquisitions or misguided projects. (Shortform note: In *Great by Choice*, Collins and Morten T. Hansen looked at another set of high-performing companies and found that they had a [disciplined, consistent approach to progress](#). Even, or especially, *during* tough times—economic downturns, market turbulence, or unexpected crises—these companies hit their targets. They resisted the temptation to overreach in good times or to cut back too drastically in bad times.)

Collins clarifies that discipline *does not* mean a tyranny presided over by the executive. Rather than having an executive who imposes and enforces discipline, good-to-great companies have a *culture* of discipline permeating the organization. With a solid understanding of the company’s Hedgehog Concept, individuals can police themselves and make sound decisions without layers of bureaucracy.

(Shortform note: In order for employees to have a solid understanding of the company's Hedgehog Concept, you need to give them enough information. In *No Rules Rules*, Netflix cofounder Reed Hastings says a company should **have a culture of radical transparency**, making sensitive information such as financial data available to all employees. With access to relevant information, employees can then operate more autonomously—making decisions, taking risks, and taking ownership of the consequences without having to seek approval from higher-ups.)

How to Achieve It

Collins says you can maintain discipline by doing the following:

- 1) Allow individuals freedom within a clear framework of responsibility. (Shortform note: In *Team of Teams*, General Stanley McChrystal says he veered away from the traditional command-and-control model and gave individuals more freedom by **instituting a policy of empowered execution**. Instead of explicitly delegating, he had a general rule: If it advances the team effort, do it—assuming it's moral and legal.)
- 2) Retain self-disciplined people who are driven to produce results. (Shortform note: Money isn't the only way you can **retain your top performers**. Experts say you can encourage them to stay by being receptive to their ideas, giving them space to grow, and recognizing their hard work.)
- 3) Recognize that a disciplined culture is different from a culture led by a tyrant or disciplinarian. (Shortform note: If you believe that people won't be disciplined if you're not breathing down their necks, then you might be a micromanager (or worse). **Tame your inner tyrant** by hiring people who have the right skills for the job, being clear about your expectations, and allowing your employees to use their own approach to tackle problems.)
- 4) Adhere fanatically to hedgehog thinking. A key technique for staying true to your Hedgehog Concept is to create a "stop doing" list, meaning if an activity doesn't serve your Hedgehog Concept, you should stop doing it. (Shortform note: One way to stop doing things that don't serve your Hedgehog Concept is to **ask yourself the Focusing Question**. In *The One Thing*, Gary Keller says this question is: "What's the one thing I can do such that by doing it everything else will be easier or unnecessary?" This has the dual purpose of clarifying your big-picture purpose and identifying your most important immediate action toward attaining it.)

6. Using Technology Tactically

The sixth principle behind good-to-great companies is that they engage with groundbreaking technologies in a very specific way. Rather than betting the house on the technology itself, they think deeply about how the technology can serve the company's Hedgehog Concept. In other words, good-to-great companies **don't use technology to create growth but to accelerate it**. In contrast, other companies fear being left behind, so they adopt new technology as a reflex without methodical thought.

(Shortform note: This principle is even more relevant in the age of artificial intelligence (AI). Many companies are rushing to adopt it, but research shows that **95% of AI projects don't deliver real results**. The problem isn't the technology itself—it's how it's used. Affirming Collins's ideas, experts say that AI only works when it's woven into everyday workflows, when different departments are on the same page, and when the company culture supports it. The companies that succeed are those that understand the real problem before picking a tool to use. AI—and other new technologies—can boost what's already working, but if a company hasn't laid the groundwork to properly use the tool, AI only amplifies dysfunction.)

How to Achieve It

Collins says that when evaluating a new technology, the key question to ask is: Does this technology impact

my Hedgehog Concept? If it doesn't, you can safely ignore it and/or adopt it just enough to keep pace. If it does support your Hedgehog Concept, you must figure out how you can lead in the *application* of that technology.

(Shortform note: Collins advises you to evaluate how technology will impact your Hedgehog Concept, but it can be difficult to get a full picture because new technology *comes with many unknowns*—mainly whether its benefits will outweigh the costs. Experts thus advise gathering information and experimenting incrementally, so you can learn about a technology's value before fully committing while also staying flexible enough to adjust your approach as uncertainty resolves. Collins and Hansen recommend a similar approach in *Great by Choice*: *Fire "bullets" before "cannonballs"*—conduct experiments that don't cost much and that have minimal consequences, then only pursue the projects that show the greatest potential.)

Flywheels Versus Doom Loops

Greatness is the result of the steady, disciplined adherence to the six principles described above.

Each step on the road to greatness takes *time*—there's no bolt from the blue or miracle moment. Collins likens the process of going from good to great to the turning of a heavy flywheel. To get the flywheel moving takes continuous effort and dedication, but once it's spinning, its momentum keeps it going.

Unfortunately, Collins says, many leaders are under the impression that massive success can happen overnight—by dint of a splashy initiative, a big-ticket acquisition, or a cutting-edge technology. These moves all too often fail and lead to further drastic measures—such as restructurings and layoffs—which lead to further declines and on and on. This painful cycle is the “doom loop,” and it can be avoided by the diligent observance of Collins's good-to-great principles.

(Shortform note: While the flywheel is a metaphor for positive momentum built from disciplined effort, it can also create what experts call *active inertia*: Companies cling to the strategies, routines, and values that made them successful, even when circumstances change. In short, the flywheel itself can become a doom loop. To avoid falling into the active inertia trap—or to break free from it—resist the urge to make quick, sweeping changes and instead regularly challenge your assumptions, processes, and values. Then, be willing to make strategic shifts in response to a changing environment.)

Shortform Introduction

In *Good to Great*, renowned consultant and business-school professor Jim Collins and a team of research assistants set out to learn (1) whether *good* companies can become *great* companies and (2) if they can, *how*.

Collins's answers to those questions, which are detailed in the following chapters, have made *Good to Great* a touchstone text for managers and consultants alike. (It helps, too, that the book's findings are empirically based and its concepts straightforward.)

It's important to note, however, that the book was published nearly 20 years ago, and Collins and his team performed their research in the five years before that.

What this means for a contemporary, moderately informed reader is that some of Collins's case studies may seem odd, given that they failed to sustain greatness.

For example, among the companies Collins lauds are:

- **Circuit City**
 - Filed for bankruptcy in November 2008 due in large part (but not only) to the 2008 financial crisis
- **Fannie Mae**
 - Was taken over by the U.S. Government in September 2008 due to a critical lack of capital
- **Wells Fargo**
 - Was fined \$185 million by the U.S. Consumer Financial Protection Bureau in 2016 for the creation of millions of fraudulent accounts
 - Paid a \$1 billion penalty in 2018 to federal regulators as part of a settlement for abuses in its auto- and home-loan programs
 - Paid a \$2.09 billion civil penalty in 2018 as part of a settlement for abuses in its home-loan program that contributed to the 2008 financial crisis

We at Shortform won't be entering into the debate about whether these examples undermine Collins's findings. According to his criteria at the time of his writing, the companies Collins dubs "good-to-great" were indeed great, and he remains an in-demand authority on management techniques.

It's also possible that a follow-up study to *Good to Great* would find that Circuit City and the other troubled good-to-greats **abandoned the principles that made them great in the first place**. For example, as it lost ground to Best Buy in 2007–2008, Circuit City laid off its most talented (and well-paid) workers for a quick cash boost. A move like this contradicts Step #2 of Collins's program, which emphasizes the hiring and retention of good people.

We also believe Collins's ideas are useful outside of the business realm, and the fate of a Circuit City or Fannie Mae doesn't disqualify people from using Collins's precepts in their daily lives.

Chapter 1: Separating the Great from the Good

At a dinner Collins was attending in 1996, a McKinsey managing director pointed out a flaw in *Built to Last*, Collins's 1994 bestseller that explained how long-lasting companies achieved their success. The flaw was that the companies Collins studied were, for the most part, *always* unique—they never had to make the leap from just good to great.

Thus the idea for *Good to Great* was born: to study whether good companies can indeed become great companies and, if so, *how* they can.

Over five years, Collins's team of 21 researchers reviewed close to 6,000 articles and generated over 2,000 pages of interview transcripts to determine whether and how companies can go from good to great.

Methods

Collins's criteria for a good-to-great company was as follows:

- A fifteen-year stock return at or below the general market return; followed by
- A transition point; resulting in
- Fifteen-year cumulative returns at least 3x the general market return.

The team chose fifteen years as the default scale for two reasons:

1. It's long enough to rule out lucky breaks or one-offs; and
2. It exceeds the average CEO's tenure, thereby mitigating the singular effects of a particular leader.

Meanwhile, the team chose the 3x stock-return metric because it exceeded the returns posted by companies commonly thought of as great (Intel, Boeing, Walt Disney, etc.).

Collins and his team found 11 companies that satisfied the criteria. The answer was **yes: companies could go from good to great**. But how did these companies make the jump?

To determine what set these 11 companies apart from their competition, Collins and his team compiled a list of "comparison companies." Each comparison company

- Competed in the same industry as its relative good-to-great company;
- Possessed similar resources and opportunities as its good-to-great company; and
- Featured a fifteen-year stock return at or below the general market return that *remained* at that level after the good-to-great company's transition point.

The Companies

The 11 companies are listed below. Comparison companies are in parentheses, followed by the companies' industries.

- Abbott (Upjohn) – Health Care
- Circuit City (Silo) – Retail

- Fannie Mae (Great Western) – Financial Services
- Gillette (Warner-Lambert) – Consumer Goods
- Kroger (A&P) – Retail
- Nucor (Bethlehem Steel) – Steel
- Philip Morris (R. J. Reynolds) – Tobacco
- Pitney Bowes (Addressograph) – Business Services
- Walgreens (Eckerd) – Pharmacy
- Wells Fargo (Bank of America) – Banking/Financial Services

In addition to direct comparisons with statically good companies, Collins and his team compared the good-to-great companies with companies that showed great results but couldn't sustain them over the fifteen-year window ("Unsustained Comparisons"). Those companies are:

- Burroughs – Business Services
- Chrysler – Automotive
- Harris – Aerospace and Defense (previously Business Services)
- Hasbro – Toys/Entertainment
- Rubbermaid – Manufacturing
- Teledyne – Conglomerate (Electronics, Aerospace and Defense)

Once Collins and his team had determined the good-to-great companies and their comparisons, they compiled and coded material related to each company's strategy, technology, leadership, culture, compensation structure, and management turnover. They also conducted interviews with the executives who presided over the various companies at the transition point.

The Findings

In the process of analyzing and coding the various facets of the good-to-great companies and their comparisons, Collins and his team were clued into key concepts by a number of surprising differences.

- High-profile, celebrity CEOs brought in from the outside to whip a company into shape actually *hurt* a company's ability to transition from good to great.
- "Strategy"—that is, the formulation of a long-term plan of any kind—didn't correlate with good-to-great. Both the good-to-great companies and the comparison companies had long-term strategies in place.
- Technology was insignificant as far as *starting* a transition from good-to-great. It helps *hasten* a transformation, but isn't required for a transformation to begin.
- Mergers and acquisitions were not a cause of greatness.
- Good-to-great transformations weren't highlighted by a press release, announcement, rollout, or anything at all. Rather, they were the result of steady, dogged work that, to observers inside the company and out, seemed perfectly ordinary—even *boring*.
- The particular industry wasn't important: Some good-to-great companies specialized in unglamorous areas yet were able nevertheless to produce great results.

So how did the good-to-great companies do it? Collins provides a tidy chronological diagram that details the

companies' unique traits.

Buildup Phase

- People
 - *Level 5 Leadership*: Good-to-great companies are led by “Level 5” leaders—personally humble but professionally driven executives.
 - *The Right Team*: Having the right people on board early pays dividends down the line.
- Thought
 - *Facts Over Fantasy*: Companies need to develop a culture where brutal truth is heard (but hope springs eternal).

Breakthrough Phase

- *Hedgehog Thinking*: To think like a hedgehog, rather than a fox, is to develop a simple guiding concept for your organization.
- Action
 - *Disciplined Culture*: The organization from top to bottom needs to understand and adhere to the “Hedgehog Concept.”
 - *Tech Done Right*: Good-to-great companies never latch onto new technology for its own sake. They use tech to *accelerate* transitions, not create them.

To head off the notion that these features can be implemented or cultivated overnight, Collins and his team came up with the **“flywheel” analogy**. A heavy flywheel takes an enormous amount of energy to get going—but once it’s spinning, it only takes a small amount of energy to keep it turning or to increase its speed. Good-to-great companies achieve their key strengths steadily and doggedly; they stay patient in the confidence that, with the right cogs in place, the breakthrough will come.

The opposite of the flywheel is the “doom loop.” A company that tries to revolutionize its strategy, culture, product, or process in one fell swoop is fated to fail.

All of these concepts will be explored in the coming chapters.

Chapter 2: Level 5 Leadership

Top-Line Takeaways

- Good-to-great leaders exhibit “Level 5 Leadership”: **Personal humility coupled with professional drive**. Comparison company leaders, by contrast, were often egotistical, charismatic, and eager to credit themselves and blame others.
- Despite Level 5 leaders’ personal modesty, they do whatever it takes to get results.
- Level 5 leaders groom successors so that their companies stay successful after they depart. The leaders of the comparison companies, however, because they believed themselves to be geniuses or felt threatened by other managers’ rise, devoted no time to educating successors or preparing the company for their inevitable departure.
- Level 5 leaders tend to emerge from within the company, rather than get brought in from the outside.
- Instead of “looking in the mirror” to give credit for their company’s success, good-to-great leaders will “look out the window,” apportioning credit to external factors (e.g., luck) or their colleagues.

What Makes a Level 5?

If we’re asked to name a successful CEO, we’re liable to think of celebrity executives like Tim Cook and Elon Musk, figures who have a larger-than-life presence and appear frequently in the media.

(Shortform example: We’re less likely to think of someone like Rodney McMullen, current CEO of Kroger. McMullen was raised on a farm in Kentucky, was the first in his family to go to college, and began his career at Kroger as a part-time stock clerk. He has no Twitter feed, and his hobby is collecting books. Yet he runs the largest supermarket chain (by revenue) and the second-largest general retailer in the U.S.)

Through their research, Collins and his team discovered that *all* of the good-to-great companies had leaders like McMullen: personally humble but intensely driven and disciplined professionals.

Collins and his team dubbed these unique executives “Level 5 Leaders.” Level 5 leaders check their egos at the door and sacrifice personal glory for the institutional good. **A Level 5 leader’s primary concern is company success, not his or her own.**

To distinguish Level 5 leaders from more ordinary managers, here are all 5 levels of contributors:

- *Level 1*: A capable individual contributor. A talented and productive individual with good work habits.
- *Level 2*: A productive team member. A talented and productive contributor who also makes those around him or her better.
- *Level 3*: An effective manager: A person who can marshall people and resources to achieve a decided-upon objective
- *Level 4*: A leader. One who can inspire subordinates and achieve higher performance
- *Level 5*: A Level 5 Leader. Exceeds expectations through a unique combination of humility and drive; funnels personal ambition into company success.

The Qualities of Level 5 Leaders

Self-Effacing, but Resolute

Level 5 Leaders tend to avoid the public eye, have a reserve demeanor, and even tend to shyness. But while not ambitious for themselves, they are ambitious for the company - **they never back down from taking responsibility or making a difficult decision.**

For example, Darwin E. Smith, CEO of Kimberly-Clark from the 70s through the 90s, was no darling of reporters: He wore unfashionable suits, was uncomfortable in interviews, and preferred the company of manual laborers to that of fellow executives. Rather than take flashy vacations to exotic locales, Smith spent his time off on his property in rural Wisconsin, performing hard labor himself.

Smith's "aw shucks" demeanor, however, belied a rigorous and gutsy businessman. Shortly after he became CEO in 1971, Smith and his team determined that coated paper, which constituted the core of Kimberly-Clark's business, featured both little opportunity for growth and poor competition. He made a momentous decision: to sell the company's paper mills and go all in on consumer paper goods, where growth potential was significant and competition fierce.

The decision was panned by industry analysts, but it paid off: During Smith's 20-year tenure as CEO, Kimberly-Clark produced cumulative stock returns 4.1x the general market return.

Prepares the Next Generation of Level 5s

Because Level 5 leaders subsume their egos to a single objective—*making their companies successful*—they are compelled to groom successors to ensure their companies' continued success.

David Maxwell, CEO of Fannie Mae in the 80s, for example, took over a company losing \$1 million a day and transformed it into one earning \$4 million a day in profit. Rather than cling to the job, Maxwell retired at the height of his powers in 1990, leaving the company in the able hands of his chosen successor, Jim Johnson.

Maxwell's "company-first" mentality continued even into his retirement. When his generous retirement package came under fire in the U.S. Congress, Maxwell told Johnson to redirect the amount still to be paid—about \$5.5 million—to the Fannie Mae foundation so that it could help low-income Americans secure mortgages. **For Maxwell, the company's reputation was more important than his personal gain.**

Comes from Within the Company

Good to Great leaders were often *promoted* to chief executive rather than hired from outside.

Good-to-great executives Darwin Smith (Kimberly-Clark), Colman Mockler (Gillette), and George Cain (Abbott Laboratories) all emerged from within the ranks of their respective companies, whereas comparison CEOs like Al Dunlap (Scott Paper) and Lee Iacocca (Chrysler) were brought in.

Takes Blame and Deflects Credit

In Collins's interviews, good-to-great CEOs credited their colleagues—or just dumb luck—for their companies' successes, whereas comparison leaders were quick to blame outside factors or others for their companies' failures.

Good-to-great leaders will "look out the window" when assigning credit for their successes, whereas lesser leaders will "look in the mirror."

A prime example is Joseph F. Cullman, CEO of Philip Morris in the 60s and 70s, who watched Marlboro

become the most popular cigarette brand in America. Despite leading the company to returns 7x the general market, Cullman staunchly refused to take credit for the company's success, instead pointing to predecessors, contemporaries, successors—and luck. In fact, at the request of his admiring colleagues, Cullman wrote a book originally intended for their enjoyment only. The title? *I'm a Lucky Guy*.

Anti-Level 5s

The leaders of Collins's comparison companies, unlike their good-to-great peers, were egotistical or braggadocious; brought in from outside the company hierarchy; reluctant to groom successors; and eager to take credit and deflect blame.

The flaws of the comparison company leaders all stemmed from their egocentrism. They didn't groom successors because (1) they wanted to be the "lead dog" and (2) if the company failed after they left, it would be a testament to their personal impact. They took credit and deflected blame because, in their minds, they were the smartest people in the room and couldn't be wrong.

Level 5 Leadership (comparison): Lee Iacocca (Chrysler)

Lured away from Ford to Chrysler in the late 70s, Iacocca deserves credit for leading one of the most impressive turnarounds in business history—he took a company on the brink of bankruptcy to 3x returns on the general market by the midpoint of his tenure.

But shortly thereafter, he began to concentrate more on growing his personal brand than Chrysler: He frequently appeared on talk shows and wrote an autobiography touting his business genius. He even contemplated running for president!

The second half of his tenure reflected his priorities: Chrysler stock fell 31% behind the general market return.

And despite the company's diminishing performance, Iacocca refused to pass the torch. He postponed his retirement so many times, employees joked that his last name stood for "I Am Chairman of Chrysler Corporation Always." This ensured a weaker leadership when he inevitably left the company, one way or another.

After he finally left in the early 90s, Chrysler returned briefly to glory, but the gaps in its next generation of leadership quickly became clear. The company eventually had to be bought out by Daimler-Benz.

Can Level 5 Leadership Be Learned?

Collins admits that the traits that epitomize a Level 5 leader, like humility and ambition for the group, may be difficult to cultivate, as they're a product of a particular person's upbringing, life and work experience, and personality.

Also, because his research focused on what it takes for a good company to become a great one—rather than what life experiences result in a Level 5 leader—he lacks the hard data to back up any suggestions he might make.

His best advice, if you suspect that your personal ambition might prevent you from qualifying as a Level 5, is to mimic the *actions* of Level 5 leaders as described in the remainder of the book. Level 5 leadership and the disciplines covered later are strongly correlated, so it stands to reason that, by adhering to those disciplines, one might achieve Level 5 status (or something approximating it).

Exercise: Reacting Like a Level 5

Answer the following questions to learn what kind of leader you are.

Think of a recent success, whether at your job or in your personal life. Describe the success below.

Now explore your *reaction* to that success. Were you quick to *take* credit or *deflect* it? Did you boast about your success or take it in stride?

Now think of a recent setback, and describe that setback below.

Explore your *reaction* to the setback. Were you quick to *take* blame or *deflect* it? What have you *learned*, either about your work or yourself, from the setback?

Chapter 3: The Right Team

Top-Line Takeaways

- Good-to-great companies recruit and secure top talent *before* embarking on any transformative changes.
- In the good-to-great companies, the management team was cast as a **group of equals pushing toward a common goal**. Comparison companies, meanwhile, typically followed the “genius with a thousand helpers” model—when a visionary leader surrounds him- or herself with people who can help realize that specific vision.
- Good-to-great executives will perform regardless of the specifics of the compensation system, as long as compensation is reasonable.
- Leaders of the good-to-great companies were disciplined in hiring and firing decisions, but they weren’t ruthless—they made people changes according to a rigorous standard and relied far less than their comparison-company peers on layoffs and restructurings.
- Good-to-great teams boast a comradeship that lasts well beyond their tenure with the company.

Passengers First, Destination Later

Contrary to their expectations, Collins *et al.* discovered that good-to-great leaders assembled talented management teams *before* implementing any revolutionary reforms or setting off in a new direction.

The good-to-great executives concentrated on people first for three reasons:

1. When good people come on board before a new direction is unveiled, they’re coming on board because of *who else* is on board. This means, if the company has to change direction down the road, these folks will stick with you—because it was never about the direction in the first place.
2. With the right people, the need for motivation and management diminishes significantly—you’ve already determined your team is there for the right reasons and can handle whatever challenges arise.
3. Great vision without great people is a nonstarter—even the most innovative executive needs a diversely talented team to help realize his or her goals.

The Right Team: Wells Fargo

Wells Fargo’s rapid rise began in 1983, but the groundwork for its triumph was laid a decade earlier, when then-CEO Dick Cooley put together one of the most talented management teams in banking (*the* most talented, according to Warren Buffett).

Cooley predicted that banking would undergo massive changes in the coming decades, but he was also humble enough to know he couldn’t predict what those changes would be. So he instead decided to attract and retain as much talent as he could, even if positions had to be created for the new hires.

The strategy paid off when the major change—banking deregulation—came. While Wells Fargo’s

sector as a whole trailed the general stock market by 59%, Wells Fargo boasted returns 3x the market.

Wells's eye for talent was confirmed in the years after its triumph. Many of the executives that oversaw the bank's navigation of banking deregulation went on to become CEOs of other major companies, including U.S. Bancorp, Household Finance, and Bank of America.

The Right Team: Pitney Bowes

Dave Nassef, an executive at Pitney Bowes, spent time in the Marine Corps, and he and his managers look more for *character* and *discipline* than technical skills when they make hires.

The idea is that job-specific skills can be *taught*, whereas work ethic, moral rectitude, and dedication are much harder to instill in someone who lacks them.

Team of Rivals vs. Thousand Helpers

What makes a great team *great*? Collins *et al.* found that the executive team at good-to-great companies (1) comprised leaders at or near Level 5 and (2) debated with each other vigorously over decisions.

Collins's evidence suggests that a "team of rivals" approach—in which a leadership group is encouraged to argue enthusiastically with each other—is vital for taking a company from good to great.

The key, however, is making sure the team eventually falls in line behind the final decision. The management team may disagree vehemently on almost everything in the runup to making a decision, but they must always come together to support whatever decision is reached.

The comparison companies, meanwhile, tended to subscribe to the "genius with a thousand helpers" principle. Rather than assemble a team of Level 5 executives with leeway to disagree, the comparison companies opted to enlist a bold leader who then cultivated a group of "good soldiers"—individuals whose capabilities were limited to helping the leader realize his or her vision instead of challenging and molding that vision.

The Right Team (comparison): Eckerd

Jack Eckerd, the brilliant and charismatic CEO of Eckerd Corporation, turned two pharmacies in Delaware into a thousand-store empire.

He was the initiator and executor of his company's strategy; he neither developed an effective executive team nor groomed a successor.

His boundless personal energy eventually attracted him to politics, and he left Eckerd Corp. in the 70s to run for office and serve in the Ford Administration.

Shortly after his departure, the vacuum of talent in the management ranks became clear: Eckerd's fortunes took a turn for the worse, and they were eventually acquired by J.C. Penney.

When It Comes to Great, the Compensation System Doesn't Matter

One might expect good-to-great companies to employ executive compensation schemes that favor stock options—how else are you going to incentivize executive performance?

But Collins found *no correlation* between compensation systems and performance: Some good-to-great CEOs were compensated with stock, others with cash. Collins also found a wide range among the good-to-great executives in terms of salary amounts and bonus incentives.

The only consistent finding Collins turned up was that **good-to-great executives tended to be paid *less* than their comparison counterparts** ten years after the transition point.

It all points back to assembling a great team *first*. As long as the compensation package *makes sense*, the right executives will work tirelessly to make a company great. **Level 5 leaders are driven not by financial incentives but personal principle.**

Although data was less readily available for compensation for nonexecutive employees, what Collins *et al.* *did* find conforms with their topline finding—that getting the right people on the bus *first* mitigates the need to incentivize performance.

Disciplined, Not Destructive

Getting the right people on board sometimes means cutting workers, but indiscriminate layoffs can result in good people being jettisoned.

Good-to-great companies **operate according to rigorous standards for performance.** If a manager or employee isn't meeting the standard, then that person either needs to shape up or be cut loose. Mass layoffs to preserve capital or restructure the business, however, are rarely found in good-to-great companies.

Despite good-to-great companies' rigorous expectations, these companies relied far less on head-count layoffs than the comparison companies. **Of the 11 good-to-great companies Collins studied, 6 initiated no layoffs at all from ten years before the transition point to 1998, and four others recorded only one or two.** Among the comparison companies, layoffs were 5x more common.

The Right Team: Wells Fargo

Wells Fargo acquired Crocker Bank in 1986 and, shortly thereafter, laid off 1,600 managers, including most of Crocker's top executives, on one day.

At first glance, this seems like a classic case of one company buying another for scrap. But in reality, Wells Fargo was adhering to their exacting standard for their managers.

Crocker's management was old school, enjoying a lavish executive dining room with expensive China and a gourmet chef. Wells Fargo's management, on the contrary, conducted itself much more humbly, eating food prepared by a service that typically fed college students, for example.

Wells's management knew the majority of Crocker managers wouldn't fall in line with Wells's culture, and so they made the move. And not only: Wells retained some Crocker managers that met their standard and fired *their own* managers, thereby proving that ability and performance, rather than

tenure or position, was king.

Three Ways to Maintain Workforce Discipline

1. When in doubt, don't hesitate to pass.

Good-to-great companies don't compromise on whom they hire—they always want the best fit for an opening, and they're willing to be patient until they find it. Don't hire sub-par people for the sake of growing quickly.

2. Know when a personnel change is essential, and act swiftly.

A failsafe sign that the wrong person is on the bus is when you have to start managing that person tightly.

Keeping that person on board just delays the inevitable; it frustrates that person's team (because they have to pick up the slack), it frustrates you (because you're constantly having to educate) and, in fact, it frustrates the person (because he or she might be able to flourish elsewhere if terminated).

One alternative to letting the person go is to find a different role for the person. If the person is willing and able, you might end up saving yourself the hassle of filling a hole. But if the person doesn't rise to the occasion, the only solution might be to part ways. The key is to *act*, before the problem ramifies.

3. Save your best opportunities for your best people.

It's common sense to put your best people on your biggest *problems*, because they're the most likely to fix the problem. But to be great, you have to put your best people on your biggest *opportunities*, not your biggest problems.

For example, Philip Morris's Joe Cullman transferred one of his most able managers from the company's booming domestic division to its miniscule international business. The manager ran with it, turning Marlboro into the best-selling cigarette internationally three years *before* it took top honors in the U.S.

Devotion Is the Payoff

Beyond the material benefits of getting the right people on the bus, there are interpersonal benefits as well: **Good-to-great managers *love* what they do, love the companies for which they do it, and love the people with whom they *get* to do it.**

Collins found that good-to-great leaders described their executive tenures as love affairs or the high points of their lives. They relished coming into work and sharing their careers—and lives—with their colleagues.

Philip Morris's good-to-great executive team, for example, kept offices at the company even after their retirement, and, despite their disagreements, continued to come into work just to see each other.

Quiz: Assembling the Right Team

1. True or False: I should hire the best person available for an open position, even if I have reservations about that person.

1. True or False: You know you have a great team when everyone always agrees with one another.

2. True or False: Incentive-maximizing compensation schemes are insignificant to good-to-great leaders.
 3. True or False: If you have a great idea, retaining a great team can wait.
5. True or False: When presented with talent, you should retain it, even if there's no current need for that talent.

Answers:

1. False. Good-to-great companies don't compromise on hiring. If you have doubts, keep looking.
2. False. Great teams debate passionately over decisions—though, once a decision is reached, they support that decision no matter what their original position.
3. True. Collins found no correlation between stock-option-heavy compensation systems and executive performance.
4. False. It's more important to have the right people on the bus than a destination.
5. True. Talented, capable, disciplined people will help your organization in unforeseen ways.

Chapter 4: Facts Over Fantasy

Top-Line Takeaways

- Good-to-great leaders exhibit a psychological duality that Collins dubs the “Stockdale Paradox”—**a stoic acceptance of business realities coupled with an unwavering faith in eventual triumph.**
- In the same way that good-to-great leaders maintain discipline in their hiring and firing decisions, they stay disciplined in terms of market realities. If the facts are clear, good-to-great leaders will respond to those facts without hesitation.
- Of course, in order to respond to facts, leaders must cultivate a culture in which facts can be discovered and expressed—without fear of reprisal or blame.
- Although good-to-great leaders are always checking themselves against reality, they don’t respond to every change in the economic weather: Once the facts have dictated a course of action, good-to-great leaders will pursue that course doggedly and diligently.

The Stockdale Paradox

Admiral Jim Stockdale was the highest-ranking U.S. prisoner at the infamous North Vietnamese POW camp dubbed the “Hanoi Hilton.” Over the course of his eight-year imprisonment, he was tortured more than 20 times and suffered unimaginable physical and psychic pain.

When Collins asked him which prisoners didn’t make it, he replied, “the optimists.” The optimists were the ones who thought they would be rescued well before they actually were. With each optimistic prediction —“We’ll be out in a month”; “We’ll be out by the end of the season”—that didn’t come to fruition, these soldiers lost more and more of their will to survive. They died of “broken hearts.”

Stockdale endured because he was able to confront and manage the brutal reality of his day-to-day life in the camp—interrogations, torture—without losing hope that one day he would be freed.

Leading Like Stockdale

Each good-to-great company faced adversity on its path to great, whether in the form of crushing debt (in the case of Fannie Mae) or a massive product recall (in the case of Abbott Laboratories).

Good-to-great leaders approach these challenges in the same way Stockdale did his imprisonment: **They accept and address the brute facts of reality while never losing faith that the company will emerge victorious.**

Facts Over Fantasy: A&P and Kroger

At the beginning of the 1970s, two well-established grocery companies—A&P and Kroger—were similarly positioned to take advantage of new consumer demand for a one-stop shopping experience: Both companies had almost all their assets invested in grocery stores, and both were strongest in slower-growth areas of the U.S.

But whereas Kroger saw the demand for “superstores”—establishments that sold everything from conventional groceries to prepared foods to nutritional supplements and medicines—and met it by

overhauling 100% of their stores, A&P stayed the course—and got buried. From 1973 to 1998, Kroger generated returns 10x the general market *and 80x that of A&P*.

A&P's failure wasn't due to lack of information. In fact, A&P executives rolled out an experimental store, called The Golden Key, that was completely separate from the A&P brand and provided the supercombination store experience. The store was a success, but A&P's management simply didn't want to accept the results: The CEO, Ralph Burger, was more concerned with honoring the company's founding principles than adjusting to a changing marketplace.

A&P's fate was sealed when they embarked on a steep price-cutting strategy to grab market share, which, when the customers still didn't materialize, resulted in a vicious cycle of cost-cutting and further decline.

The executives who led Kroger's transformation, when reminiscing about the decision to change strategy, expressed a kind of *hardiness*. That is, **they were going to go where the facts led them, critics and competitors be damned.**

Cultivating a Culture of Truth

It should come as no surprise that good-to-great leaders make good decisions, but the key *is how those decisions are determined*. They're determined by the **unvarnished pursuit of facts and good-faith attempts to address those facts**.

But how does a leader cultivate a culture where truths can be sought and aired? Collins suggests four guiding principles:

1. Question first, then offer answers

- Good-to-great leaders tend to conduct meetings socratically, pumping their team for information and insight and asking tough questions to unearth assumptions.
- The purpose of the questioning is not to elicit consent ("...don't you agree with me?") but rather to *increase understanding*.
- Alan Wurtzel, for example, the leader of Circuit City during its rapid rise, earned the nickname "the prosecutor" for his persistent questioning of his colleagues.

2. Debate for stakes, not for show

- All too often an executive will solicit input from the management team just to give them a sense of being heard, then pursue the direction he or she already had in mind.
- Good-to-great executives, however, cultivated atmospheres where heated dissent and debate had real implications for company strategy.
- For example, in 1965, Ken Iverson was promoted from division head to CEO of Nucor, taking the reins of a nuclear-energy corporation that was hovering near bankruptcy. He fostered a series of debates among his team, some of which escalated into screaming matches, to determine where to take the company next. Each of Iverson's major decisions emerged from these debates. Thirty years after Iverson ascended to CEO, Nucor had transformed itself from a middling nuclear-energy

company into the most profitable *steelmaker* in the U.S.

3. When a move goes wrong, analyze without blame

- Sub-Level 5 leaders will often attempt to bury bad news or shift blame to subordinates when a decision goes awry.
- Good-to-great leaders, however, don't shy away from looking mistakes in the face; in fact, they conduct detailed autopsies, without ascribing fault, to ensure the same bad decision doesn't get made twice.
- Joe Cullman, for example, for all his success at Philip Morris, made a terrible bet on the Seven-Up Company, selling it at a loss seven years after acquiring it. Philip Morris managers talked openly to Collins about the lessons learned from the acquisition gone awry, and Cullman himself took sole blame for it.

4. Implement “alarm bell” systems

- Comparison companies like Bethlehem Steel, Upjohn, and Bank of America had all the same information as the good-to-great companies, yet they failed either to capitalize on opportunities or change course to respond to the facts of reality.
- One reason for these failures was ineffective “alarm bell” mechanisms, which are procedures that enable members of the management team to call a total halt to particular programs or strategies and raise concerns. Alarm bell mechanisms allow pressing facts to reach the executive in quick and unvarnished fashion.
- Upjohn, for example, had an idea that its new products would be problematic, yet it *ignored* the unfavorable data indicating the problems. An effective “alarm bell” mechanism would have (1) prevented those products from reaching market and (2) saved Upjohn money and market share.

Beware Charisma

We're accustomed to treating “charisma”—a person's ability to rouse and inspire others—as a plus in a leader.

It's true that charisma in an executive can be a great advantage; but it can also, without the CEO's knowing it, stifle truth.

This is because a charismatic leader, through force of personality, can create his or her own reality: Colleagues may be too timid or intimidated to raise vital objections or deliver bad news. A less charismatic leader, by contrast, is less likely to cause others to censor themselves.

Charismatic leaders must stay vigilant to make sure they're getting the straight facts from their subordinates.

Facts Over Fantasy: Winston Churchill

During WWII, Churchill was highly aware of his own charisma. He knew that because of his bold leadership and stirring speeches, his subordinates and military commanders might be inclined to give

him sugar-coated reports from the field so as not to disappoint him.

To head off any fluff that could result in disaster, Churchill created a department called the Statistical Office whose sole purpose was the compilation of facts. Churchill frequently consulted this Office when making decisions, saying, "*Facts* are better than dreams."

Chapter 5: Hedgehog Thinking

(Shortform note: The following chapter inaugurates the “Breakthrough” phase of a good-to-great company’s timeline, when a *good* company takes its first definitive step toward becoming *great*. But it’s important to note that this step won’t pay off unless the proper leadership, people, and climate—the subjects of the first three chapters—are in place.)

Top-Line Takeaways

- People can be divided into foxes and hedgehogs: Foxes know many things and engage with a complex world on its own terms; **hedgehogs know one big thing and subsume the world’s complexity to a single, simple, unifying idea.**
 - (This division is based on the parable of the fox and the hedgehog: whereas the clever fox is forever coming up with new ways to attack the hedgehog, the hedgehog always defends itself the same effective way: by curling up into an untouchable ball of spikes.)
- Good-to-great leaders are *hedgehogs*—they develop a simple concept in response to the facts of reality and pursue that concept vigorously and with singular focus.
- Collins *et al.* determined that “hedgehog concepts” emerge from a Venn diagram consisting of three key questions: What can I do better than anyone else in the world? What is my financial engine? And: What am I profoundly passionate about?
- Hedgehog Concepts don’t strike like lightning bolts, but rather develop through an iterative process of debate, decision, and analysis.

Hedgehogs and Hedgehog Concepts

Consider the thinkers with the most long-lasting influence: Adam Smith, Darwin, Marx, Freud, Einstein—each took the seeming chaos of the world and boiled it down to a single, easy-to-understand concept.

Like these thinkers, good-to-great leaders look at a complex world and produce **simple, elegant concepts to filter out noise and provide a steady guide for their companies.**

Hedgehog Thinking: Walgreens

From 1975 to 2000, Walgreens delivered stock returns 15x the general market return, dwarfing the performance of Eckerd, its comparison company.

Walgreens’s resurgence was fueled by an utterly simple concept: to build the *most convenient drugstores* with the *highest profit per customer visit* in the industry.

Once the concept had been determined, it was just a matter of doing whatever it took to serve the concept: building stores on corners rather than midblock, clustering stores in high-traffic areas, providing drive-through pharmacy services, and adding highly profitable services like one-hour photo development.

Eckerd, meanwhile, had no unifying concept for growth. It made sporadic deals to acquire stores in

discrete areas, and even tried getting into the home-video industry by purchasing American Home Video Corporation (a move that resulted in a \$31 million loss). Twenty years after that ill-starred purchase, Walgreens was sustaining its stellar performance—and Eckerd no longer existed as an independent company.

Developing Your Hedgehog Concept

At a glance, a Hedgehog Concept might just seem like sound strategy or sharp business sense.

But Collins *et al.* discovered that good-to-great companies' guiding concepts were driven by research and understanding along three axes.

Imagine a Venn diagram composed of **three circles**:

Circle #1: What can I do better than anyone else in the world?

Rather than focus on “core competencies,” good-to-great companies homed in on an area of their business they led (or *could* lead) the world in.

For example, by the 1960s, Abbott Labs hadn't invested enough in R&D to compete with major pharma companies like Merck. So, even though Abbott had focused on pharmaceuticals for its entire existence, CEO George Cain decided to move the company into the areas of hospital nutritional products and diagnostic devices, areas with which the company had flirted and in which opportunity was significant. Abbott eventually became a leading company in both these areas.

The takeaway is this: **If you can't be the best in the world in a particular area, even if it's your core business, then it *can't* be part of your Hedgehog Concept.** It's equally useful to define what you *cannot* be the best in the world at, and to avoid that sector.

Upjohn, Abbott's comparison company, illustrates how the lack of a Hedgehog Concept can lead to ruin. First, Upjohn attempted to take on Merck, not realizing that it could *never* be the best pharmaceutical manufacturer in the world. When it fell further behind the industry leaders, it tried to diversify into areas it would be impossible to conquer. Later, it returned to pharmaceuticals, focusing on “ethical drugs,” but the market was already well beyond them. They were acquired in 1995.

Circle #2: What's my economic engine?

It might be tempting to assume that the good-to-great companies happened to be operating in booming industries at the transition point—but, in fact, only *one* of the good-to-great companies was in a high-return industry. (Collins *et al.* ranked each of the good-to-great companies' industries by averaging returns for the top companies *within* those industries.)

The reason the good-to-great companies were able to excel regardless of industry was their sharp insight into the fundamental economics of what aspect of their business would drive profits. They formulated a single “**economic denominator**,” defined as a ratio such as “**profit per X**,” and aligned their strategy around that ratio. The challenge was to define the correct X to produce the correct strategy.

For example, a common-sense economic denominator for a pharmacy—or any retail company—is *profit per store*. This thinking would lead to a strategy of cutting stores and lowering costs per store, at the expense of customer experience.

Walgreens, however, knowing that it wanted to maximize convenience, also knew that profit per *store* would likely diminish (because more convenience = more stores in a smaller area = less profit per store). So they transformed their thinking: They optimized their stores for *profit per customer visit*, thereby **aligning their economic denominator with what they could do better than anyone else in the world**—build convenient drugstores.

Likewise, banks used to focus on the economic denominator of *profit per loan*. But in the era of deregulation, banking services became a commodity - *profit per loan* would be competed down to zero. In response, Wells Fargo focused on a new denominator: *profit per employee*. This encouraged the development of low-overhead branches and adoption of ATMs.

In contrast, the comparison companies didn't discover a key economic denominator, and thus did not develop an insight into what would make for successful economics.

(Shortform note: Collins notes that each industry has its own economic forces, so there are no standard correct denominators. The point is that identifying the *key* denominator that best illustrates successful economics is important.)

Circle #3: What is my profoundest passion?

Although good-to-great companies certainly wanted to maximize profits, they weren't simply looking for golden opportunities. **Rather, they pursued courses of action that *inspired* their people.** They only chose opportunities that their team could get passionate about.

For example, while its competitors ran a race to the bottom by manufacturing ever-cheaper disposable razors, Gillette went in the opposite direction, designing and producing sophisticated shaving systems that its technicians and executives could get excited about.

Comparison companies, by contrast, evidenced no personal investment in their decisions. R. J. Reynolds, unlike good-to-great Philip Morris, saw the tobacco industry simply as a way to make money. When smoking's terrible health effects came to light, R. J. Reynolds diversified into industries it also didn't care about, eventually yielding to a leveraged buyout. Philip Morris, meanwhile, staffed by devoted smokers, stuck with tobacco and prevailed. (Shortform note: Collins acknowledges the ethical complexity of praising a cigarette manufacturer.)

In the intersection of the three circles lies your Hedgehog Concept. This is a deep understanding of where you can play, win, and make a profit.

When trying to figure out your Hedgehog Concept, you might be disheartened by the realization that you're not the best at anything. That's OK. Most good-to-great companies were not the best in the world at anything, nor did they show potential to *become* the best. But they were doggedly determined that such a thing existed and that they would find it, and they eventually succeeded.

(Shortform note: The three circles are a helpful tool for *personal* growth as well. If you're at a standstill in your career or looking for a change, you might use them to determine your true calling.)

In contrast to good-to-great companies, comparison companies tended to avoid the deep understanding of developing the Hedgehog Concept. Instead, they moved with bravado, focusing on growth for its own sake and seeking to get bigger without an understanding of why this was helpful.

Consulting the “Council”

Given the simplicity and elegance of the three-circle Venn diagram, it stands to reason that identifying your Hedgehog Concept would be equally straightforward. But Collins *et al.* discovered that good-to-great companies took an average of *four years* to land on their Hedgehog Concept.

Developing the insight to fill out the Venn diagram factually and produce a Hedgehog Concept takes time and effort.

One way to speed up the process is to empanel a “council”—a group of decision-makers and stakeholders well-placed to consider and debate the three questions of the diagram. The council should feature the following:

- A robust mandate to drive understanding about the organization and its mission
- Five to twelve members, led by the chief executive and drawn from any job level in the company
- Spirited debate without fear of retaliation
- Mutual respect among members
- Permanent existence, punctuated by regular meetings (anywhere from weekly to quarterly)
- A nonofficial character (it shouldn’t appear on any organizational charts)
- Default company hierarchy (i.e., any final decision rests with the chief executive, not consensus among council members)

Once the council is created, its path toward unearthing a Hedgehog Concept is cyclical and regular:

1. Debate the three questions of the Venn diagram.
2. Make decisions based on the results of those debates.
3. Analyze results or produce autopsies.
4. Repeat.

Exercise: Your Own Hedgehog Diagram

Use this exercise to home in on your own Hedgehog Concept, whether in work or life.

Answer the question, “What can I do better than anyone else in the world?” Brainstorm some answers and write them below.

Answer the questions, “What is my financial engine? What is my economic denominator?” (Reminder: this is

a ratio like “profit per X” that best reflects the economics of your business.)

Answer the question, “What am I profoundly passionate about?” Brainstorm some answers and write them below.

Review your answers to the three questions. Are there overlaps between your answers to the different questions? Is there a Hedgehog Concept among your answers that can fit in the space where all three circles intersect?

Chapter 6: Disciplined Culture

Top-Line Takeaways

- Good-to-great companies foster cultures of discipline—in which every person gauges his or her actions according to the three circles and the company's Hedgehog Concept.
- Good-to-great companies get the right people—i.e., *disciplined* people—on the bus *first*, and so there's little need for tight management. Good-to-great companies don't need to retain micromanaging, disciplinarian executives for the same reason.
- A counter-intuitive technique for maintaining an organization's discipline is to create a “*stop doing*” list (rather than a “to do” list).

Discipline from Top to Bottom

With a Level 5 leader, the right people, and a Hedgehog Concept in place, creating a culture of discipline becomes a matter of nudges rather than shoves.

As a general definition, **discipline in an organization means a fanatical devotion to hedgehog thinking—the use of the three circles for any action and constant referral to the Hedgehog Concept.**

In practice, a disciplined culture features four attributes:

- A balance of freedom and responsibility for individual managers
- Self-disciplined people intensely focused on achieving the organization's goals
- A rigorous executive, not a tyrannical one
- A quasi-religious adherence to the Hedgehog Concept, supplemented by a robust “stop doing” list

Freedom Within Limits

Good-to-great companies, consistent with their Hedgehog Concept, build **frameworks within which individual managers have the liberty to innovate and experiment.**

That freedom, however, doesn't preclude accountability—**managers must continue to perform at the level demanded by the company framework.**

A financial officer for Abbott Laboratories, for example, initiated a sea change in the company's culture by instituting a system of “Responsibility Accounting.” In this system, each cost, income, and investment was pegged to the specific individual responsible for that item. Managers were allowed to be creative in how they realized their ROI, but, by the same token, they were tasked individually for realizing that ROI.

The system worked: Abbott simultaneously reduced administrative costs (to the lowest number in the industry as a percentage of sales) *and* drove innovation (earning a majority of its revenue from new products).

Intense Self-Discipline

In a good-to-great company, managers at every level employ the three circles and refer repeatedly to the Hedgehog Concept.

Their understanding of and devotion to the company mission **means they'll police themselves, cutting waste and making sound decisions.**

Wells Fargo's utilitarian ethos, for example, was present from the executive suite on down. Its CEO, Carl Reichardt, knew that banking deregulation would necessitate the elimination of waste. So he got rid of the corporate jets and the executives-only elevator; and he even scolded people for using fancy binders for reports.

Bank of America's executives, on the other hand, preserved the perks—corner offices, oriental rugs, dedicated elevators, a corporate jet—despite the exigencies of banking deregulation. Even as the company lost over \$1.5 billion over three years, executives refused to sell the corporate jet.

Culture, not Tyranny

Good-to-great leaders like Wells Fargo's Carl Reichardt create **disciplined cultures that permeate the whole organization.** The culture is based on each individual's understanding of the three circles and their Hedgehog Concept, and so it persists even when the Level 5 leader leaves.

In contrast, when comparison companies had disciplined cultures, that discipline was imposed from the top-down with the executive serving as disciplinarian, rather than through a general culture permeating the whole organization. When the executive left, the discipline left with him.

Ray MacDonald, for example, who led Burroughs to returns 6.6x the market in the 60s and 70s, was a talented but polarizing leader—he frequently criticized those he deemed less smart than he and got results by putting intense pressure on his people.

Once MacDonald retired, however, Burroughs's management was plagued with indecision. Whereas in the past they could rely on Burroughs's *personal* discipline, they now lacked the *culture* of discipline to make decisions on their own. By 2000, 23 years after MacDonald's retirement, Burroughs's returns had fallen 93% below the market.

Hedgehog Thinking, Always

A culture of discipline is one in which hedgehog thinking—the use of the three circles and adherence to the Hedgehog Concept—is dogma.

Hedgehog thinking prevents companies from diversifying recklessly or adopting the latest fad simply because it's new. **Remember: A "once-in-a-lifetime opportunity" is bound to be a mistake if it doesn't pass the three-circle test.**

Both Pitney Bowes and R. J. Reynolds, for example, were strongly affected by governmental reform. Only one—Pitney Bowes—reacted with hedgehog thinking (but not without some hiccups).

Disciplined Culture: Pitney Bowes

Up until the 1960s, Pitney Bowes held a monopoly on postage-meter machines in the United States. Their 100% market capture produced profit margins in excess of 80%.

During the 1960s, however, the company was forced by a consent decree to license its patents to competitors for free, ending its monopoly and setting off a steep decline punctuated by silly acquisitions and ill-advised joint ventures. (One such misstep resulted in a \$70 million loss and a 54% hit to stockholder equity.)

The slide seemed unstoppable—until a Level 5 executive named Fred Allen took over the company.

Allen instituted a program of “disciplined diversification” based on the Hedgehog Concept that Pitney Bowes’s future lay in back-office products rather than postage meters. Rather than make acquisitions indiscriminately and out of desperation, Allen placed careful bets on cutting-edge office technologies and products that fit with the company’s new Hedgehog Concept.

Through disciplined hedgehog thinking, Pitney Bowes not only clawed its way back to profitability but exceeded expectations. From its 1973 nadir to 2000, the company bested many of the most famous companies in the world, including Coca-Cola, Motorola, and Hewlett-Packard.

Disciplined Culture: R.J. Reynolds (comparison)

Like Pitney Bowes, R.J. Reynolds’s business was shaken by federal action—in this case, a 1964 Surgeon General report that linked smoking to cancer.

But unlike Pitney Bowes (or Philip Morris), R.J. Reynolds strayed from their Hedgehog Concept—to *be the best tobacco company in the United States*—and acquired a shipping company and an oil company, thinking they would ship their own oil.

After sinking \$2 billion into their fledgling shipping business—an industry about which they knew nothing—they finally saw the light and sold the shipping company.

The Beauty of the “Stop Doing” List

Companies as well as individuals are inclined to create “to-do” lists—tasks and goals they hope to accomplish in the future.

Good-to-great companies make “to-do” lists as well, to be sure, **but they also make “stop doing” lists.**

Faithful and rigorous use of the three circles and the fanatic pursuit of the resultant Hedgehog Concept mean that **some actions of the company—those that lie outside the three circles—will become obsolete.**

Hence budgeting becomes a question not of allocating funds to all existing departments and initiatives, but rather deciding which functions of the company contribute to the Hedgehog Concept and which don’t. **If an activity doesn’t serve your Hedgehog Concept, you should stop doing it.**

Darwin Smith, CEO of Kimberly-Clark, for example, had a revolutionary “stop doing” list. He quit releasing annual earnings forecasts, because he saw them as detrimental to his long-term vision. He did away with job titles (except in cases where the outside world demanded them), because he perceived that managers were sapping resources based on title rather than need. And, most important, *he stopped producing paper*, switching the company’s core business over to consumer goods in accordance with his Hedgehog Concept.

Exercise: Create a “Stop Doing” List

It’s important to focus. Use the prompts below to draft your own “stop doing” list.

Revisit the previous exercise, where you explored your own Hedgehog Concept (or, simply, a concept that

intrigued you). Now, in the space below, list what you need to stop doing in order to realize that concept. Feel free to list several items, and for each item, describe how your stopping it fits with your Hedgehog Concept.

Look at your “stop doing” list and brainstorm some strategies you might use to stop yourself or your company from doing these things. What are those strategies?

Chapter 7: Tech Done Right

Top-Line Takeaways

- Good-to-great companies engage with groundbreaking technologies in a very specific way: Rather than bet the house on the technology itself, **they think deeply about how the technology can serve the company's Hedgehog Concept.**
- In other words, **good-to-great companies don't use technology to create growth but to accelerate it.** Their breakthroughs are born of the yeoman's work of developing a Hedgehog Concept, not diving headlong into the latest fad technology.
- Mediocre companies fear being left behind, driving them to adopt new technology as a reflex without methodical thought. But research suggests technology is usually not the root cause of rise or decline - it's merely an accelerant on what the company is already doing.
- A good rule of thumb is "crawl, walk, run"—slow down and think about how a technology can help you realize your Hedgehog Concept, then move carefully toward a strategy. Once the strategy is in place and chugging along, however, don't be afraid to step on the gas.

A High-Tech Hedgehog Is Still a Hedgehog

Collins and his team found, to their surprise, that 80% of the good-to-great leaders they interviewed didn't list "technology" as a top-five reason for their companies' success; and only *two* out of 84 executives listed "technology" as the number-one factor in their transition.

This is because the good-to-great companies were **more concerned with the other elements of greatness**: Retaining the right people, developing a Hedgehog Concept, cultivating a disciplined culture, etc.

That said, good-to-great companies that recognized **when a new technology fit with their Hedgehog Concept** made sure they were *pioneers* in the use of that technology.

- To increase its profit per employee, Wells Fargo was an early adopter of banking by phone and ATMs.
- Kroger pioneered computers to modernize its stores and was the first to experiment with scanners.

Tech Done Right: Walgreens

When drugstore.com had its IPO in July of 1999, its stock price quickly rose threefold to \$69 a share, resulting in a \$3.5 billion valuation.

Walgreens, meanwhile, seen as a stodgy brick-and-mortar pharmacy company destined for the dustbin of history, lost nearly \$15 billion in market value as investors raced to capitalize on the ease and quickness of online shopping.

Rather than panic, Walgreens took stock. They analyzed how the Internet could support their Hedgehog Concept of providing the most convenient shopping experience and maximizing profit per customer visit. They hit upon the idea of enabling customers to order medicines online and then pick them up at any Walgreens they chose, whether in-store or via Walgreens's drive-through windows.

Once Walgreens's plan was in place, they went big, rolling out a sophisticated website with impressive functionality and reliability.

Within a year, Walgreens's stock price had doubled—and drugstore.com had foundered, needing to lay off 10% of its workforce to conserve cash and shedding nearly all of its initial value.

In terms of technology, what separates good-to-great from simply good is the presence of the other good-to-great factors. **If you had given Nucor and Bethlehem Steel the same technology at the same time, Nucor still would've prevailed: because it already had the other good-to-great factors in place.**

Tech Done Right: Nucor v. Bethlehem Steel

A classic case study in business-school curricula, Nucor adopted a number of trailblazing techniques of steel manufacture, including mini-mills, continuous thin-slab casting, and electric arc furnaces, that helped it outperform traditional steelmakers like Bethlehem Steel.

But in his interviews with Collins and his team, Nucor CEO Ken Iverson neglected to include “technology” in the top-five factors for his company's success. From his point of view, the primary factors of Nucor's success were the horizontalization of the company's hierarchy and employees' commitment to the company's philosophy. The company's technological innovation, though certainly important, would have been wasted without the culture Iverson incubated.

The timeline of Bethlehem Steel's decline bears Iverson out. Bethlehem was hampered by poor management, a situation epitomized by tense labor relations that went back decades. By 1986, the year Nucor saw its breakthrough in continuous thin-slab casting, Bethlehem was already down 80% relative to the market. That is, its demise was *hastened* by a technological deficit, not *caused* by it.

Crawl, Walk, Run

Early adopters of new technologies rarely come out on top. For example, who's heard of VisiCalc? (VisiCalc, believe it or not, was the first major computer spreadsheet program. It lost out to Lotus 1-2-3, which, in turn, lost out to the current undisputed king, Excel.)

The lack of proof that first-mover advantage works suggests that technology itself is rarely the cause of greatness or decline. Second, third, or fourth followers often win over the first mover.

What drives many mediocre companies to adopt a new technology is the fear of being left behind. In contrast, good-to-great companies were pushed by an internal urge to become excellent, with technology merely facilitating that goal.

Rather than race to incorporate a new technology to relieve the fear of being left behind, you might avail yourself of a “crawl, walk, run” approach:

- **Crawl:** Experiment with the new technology internally and facilitate a robust debate on its potential fit with your Hedgehog Concept.
- **Walk:** Begin to integrate the technology with your preexisting systems and priorities. Ask yourself continually whether the technology is serving your Concept or distracting you from it.

- **Run:** If the new technology provides clear advantages in your pursuit of your Concept, don't hesitate to bet big and make a splash.

Chapter 8: Flywheels vs. Doom Loops

Top-Line Takeaways

- The “Flywheel Effect” captures the overall feeling of being inside a good-to-great company. To start a heavy flywheel spinning takes an immense amount of hard effort, but once momentum kicks in, it looks unstoppable.
- Even though the results are dramatic, flywheels do not result overnight from one concerted action or one flashy launch or one lucky break. They are the result of a long period of discipline and dedication to a Hedgehog Concept.
- A common excuse of mediocre companies is that Wall Street stifles long-term strategy through its insistence on short-term results. Great companies face the same pressures, but they persist with building their flywheel. The results speak for themselves, earning the grace of Wall Street investors.
- Whereas the good-to-great companies employed a “buildup phase” that eventually yielded a “breakthrough phase,” the comparison companies attempted to skip the slow work of the buildup with ill-advised acquisitions or other risky moves. With each misguided decision came disappointing results, which further increased the pressure to make bold moves, which resulted in further disappointment—the “doom loop.”

The Feel of the Flywheel

Media accounts of good-to-great success stories are by necessity incomplete—they latch onto the **result of a yearslong process rather than the process itself**.

For the good-to-great companies themselves, the breakthroughs are far less shocking, because, by dint of the Stockdale Paradox (confronting the facts while keeping faith) and a culture of discipline, those “breakthroughs” seem like the organic outcomes of a transparently obvious strategy. **The breakthrough is just the moment when the flywheel starts spinning of its own accord.**

Flywheels vs. Doom Loops: Circuit City and Nucor

Alan Wurtzel, Circuit City's Level 5 leader, inherited the CEO position from his father in 1973, but the company didn't receive national recognition until 1984, when *Forbes* published a feature on its swift rise, portraying it like an overnight success story.

In fact, Wurtzel had inherited a nearly bankrupt company in 1973, and it took every bit of those eleven years for Circuit City to work its way to breakthrough. From rebuilding the executive team to exploring a warehouse-showroom model of retail to favoring consumer electronics over appliances, Wurtzel pursued a fact-driven and carefully paced transition.

Nucor's buildup, too, was largely ignored by the media. Ken Iverson and his team started revamping Nucor in 1965, and by 1975, the company had built three mini-mills and reimaged its culture. But it wasn't until 1978 that *Business Week* published the first major article on the company.

The transformations that turn good companies into great companies don't have a name or a brand or a

tagline—in fact, they're barely discernible as discrete processes at all. ***There is no miracle moment. There is, rather, the culmination of the dogged, disciplined pursuit of excellence.***

That said, to ensure that everyone in their organizations buys into their initiatives, good-to-great leaders make sure they're communicating each turn of the flywheel—each incremental advance—to their people.

Kroger CEO Jim Herring, for example, when he was leading the supermarket chain's transformation, created alignment across the 50,000-person company by presenting tangible results to his employees, even if those results were humble. The upshot was that people extrapolated from the smaller accomplishments and got excited about where the company was headed.

The Flywheel and Wall Street

Given analysts' and traders' affinity for the quick return, there's constant pressure on companies to make an impact *now* rather than later.

But good-to-great companies, featuring disciplined cultures and a stubborn adherence to their Hedgehog Concepts, recognize that greater benefits are to be had from persistent, consistent effort than short-term acquisitions or restructurings that might make a splash in the markets.

Thus good-to-great companies develop mechanisms for managing the short-term pressures from Wall Street. For David Maxwell of Fannie Mae, that mechanism was educating analysts on what the company was doing (i.e., explaining its Hedgehog Concept). He admits that not everyone believed Maxwell's plan would save Fannie Mae, but as the small triumphs mounted and the results became obvious, Wall Street eventually got on board.

For Abbott Laboratories, the mechanism was a clever deflection tactic built around its long-term objectives.

Flywheels vs. Doom Loops: Abbott Laboratories

To mitigate the pressures of the stock market, Abbott would offer middle-of-the-road growth projections to Wall Street, then set internal goals for much higher growth. At the same time, it would maintain a ranked list of new ventures that it had yet to fund, dubbed the "Blue Plans."

At the end of the year, having exceeded Wall Street's expectations by reaching or nearly reaching its internal goal, Abbott would release to Wall Street a growth number *between* the original projected number and the actual one. Abbott would then **take the remaining growth funds and channel them into the Blue Plans**, thereby simultaneously keeping Wall Street happy and priming the pump for long-term results.

Courting Doom

Rather than hashing out a Hedgehog Concept, evaluating every decision according to it, and advancing their organizations stoically and faithfully, the **comparison companies tended to launch flashy new programs in a desperate attempt to build motivation and momentum**. They did so reactively and impulsively, without deliberately understanding the key market fundamentals that would increase the likelihood of success.

These programs, because they attempted to skip over the buildup phase and proceed directly to breakthrough, invariably failed: **They lacked the necessary foundations to produce sustained results. The failing programs were then replaced by further flashy programs**, which met the same fate for the same reason, and the cycle began all over again. Thus: *the Doom Loop*.

Flywheels vs. Doom Loops: Warner-Lambert (comparison)

Between 1979 and 1998, Warner-Lambert, the direct comparison to Gillette, was led by three CEOs, each of whom instituted drastic changes in direction and philosophy: from consumer products to healthcare and back again and forth again.

These moves were driven by CEO ego—each wanted to make his mark on the company and make big new flashy changes—rather than the diligent use of the three circles.

In the same period, the company underwent three restructurings, laying off 20,000 workers in the process, and its stock returns bottomed out.

Two years later, Warner-Lambert was acquired by Pfizer and ceased to exist as an independent company.

Acquire Deliberately

Acquisitions and leadership changes aren't intrinsically dangerous—the good-to-great companies featured both in the course of their transformations. But it was the *way* they used them that spared them the doom loop.

The good-to-great companies executed acquisitions at rates more or less equal to the comparison companies. The good-to-great companies, however, **went shopping only *after* seeing success with their Hedgehog Concept—to turbocharge a flywheel that was *already* spinning—whereas the comparison companies executed acquisitions to *create* momentum.**

As with technology, great companies use acquisitions as accelerant, not as a hail-mary pass to save the company.

Lead Consistently

Good-to-great companies also saw leadership changes during their transformations—but, due to Level 5 leaders' tendency to groom successors (see Chapter 2) and create cultures of discipline (see Chapter 6), transitions from one leader to another were seamless. **New leaders at great companies continued to turn the flywheel** and accelerated momentum built from the past.

New leaders of the comparison companies, by contrast, had a habit of stopping an already spinning flywheel.

Harris Corporation, for example, recorded great results under two CEOs whose Hedgehog Concept had the company focusing on printing and communications technology. A third CEO, however, moved the company headquarters from its longtime base in Cleveland to Florida (where he had a house) and, shortly thereafter, abandoned the printing business for office automation, giving up one of the most profitable parts of the

company for a pipe dream.

Good money flew after bad, and soon enough a company that had been beating the market by more than 5x ended up 70% behind.

Chapter 9: Great to Lastingly Great

Top-Line Takeaways

- Contrary to Collins's expectations, *Good to Great* isn't a sequel to his bestseller *Built to Last*—it's a *prequel*.
- Enduringly great companies adhere to good-to-great concepts in their infancy. It's only when they've achieved greatness that they begin to adopt the qualities Collins outlined in *Built to Last*.
- Why the fixation on greatness? Collins believes that a desire to be great—rather than simply good or successful—is a natural byproduct of doing something we love. If we're content with being just decent or average at what we do, then we're probably in the wrong line of work.

Built to Last (by Going From Good to Great)

In his previous bestseller *Built to Last*, Collins and his coauthor identified 18 lastingly great companies and studied how they constructed a durably great company from scratch. Using a similar methodology to *Good to Great*, the authors compared the lastingly great companies with competitor companies.

The enduringly great companies from *Built to Last*, it turns out, adhered to many of the principles Collins discovered in *Good to Great*.

Great to Lastingly Great: Hewlett-Packard

Bill Hewlett and David Packard were best friends in graduate school, and their company was simply an extension of their friendship—they wanted to work with each other as well as people that shared their values and passions.

They took the team-first principle to an extreme: The minutes of their first meeting, which took place in 1937, state that the company would compete in the field of electrical engineering by designing and manufacturing products. The minutes also show that discussion of *what they would actually manufacture* was tabled until a later meeting.

After WWII, with revenues shrinking, Hewlett-Packard still retained talent, even if there wasn't anything particular for those workers to do. The thinking was, **Fabulous people will do fabulous things, so why not have them do those things for us?**

Even after HP had become one of the most successful and admired companies in business history, Hewlett and Packard retained their (Level 5) humility. Packard, in fact, though a billionaire, lived in the small house he and his wife built in 1957 until he died. A eulogy pamphlet created by his family featured a picture of him on a tractor and the caption "David Packard, 1912–1996, Rancher, etc."—no mention of his massive success as an industrial engineer and entrepreneur.

Taking Good to Great to Lastingly Great

The four key ideas of *Built to Last* are as follows:

- **Design Your Own Timeline**
 - Rather than look to the outside to see where you stand on your trajectory, set your own agenda and time benchmarks.
 - The idea is to build a company that can endure beyond individual product cycles or leaders.
- **Embrace the “And”**
 - When faced with an “either/or” choice, devise a solution that lets you have “both/and.”
 - You want your company to be able to pursue both terms in a dichotomy: freedom *and* responsibility, consistency *and* change, etc.
- **Develop a Core Ideology**
 - A “core ideology” is a combination of a core purpose (the deep justification for your organization’s existence other than turning a profit) and a set of core values (principles that guide your every decision).
- **Spur Progress, but Refer to the Core**
 - Adaptation and change is vital, and you should stimulate innovation and agility whenever and wherever you can *while also staying true to your core ideology*.

Collins found that all of the *Good to Great* principles supported the four *Built to Last* ideas.

More on the Core

One of the more surprising discoveries Collins and his coauthor made in *Built to Last* was that, while a core ideology is essential, a specific *kind* of core ideology isn’t.

That is to say, ***a core ideology can be anything you want, as long as you believe in it and refer back to it as you embark on the adaptations demanded by the facts of reality.***

For example, Walt Disney represents both the adaptability needed to survive and thrive in a forever-changing marketplace *and* the power of a core ideology. Although the company has diversified from animated features to television to theme parks and cruises, it has never strayed from its core ideology: Bringing joy to children through creativity, the refusal of cynicism, and obsessive attention to detail.

Hedgehog BHAGs

Another concept *Built to Last* explores is the BHAG (pronounced *bee-hag*)—Big Hairy Audacious Goal. BHAGs are the **huge, seemingly impossible objectives that can inspire outsiders and stakeholders alike.**

But there are *good* BHAGs and *bad* BHAGs:

- A *good* BHAG is one determined by the deep understanding derived from hedgehog thinking—the application of the three circles and the creation of a Hedgehog Concept.
 - Boeing, for example, began as a military contractor exclusively. When a level 5 CEO took over the company in 1952, he realized that the company’s knowledge of jet propulsion and manufacturing large airplanes could apply to the design and production of large-scale commercial aircraft.
 - The BHAG—to become the leading commercial aircraft maker in the world—was certainly bold, but it checks out when analyzed using the three circles: (1) The company’s technology and knowhow meant it *could* be the best commercial aircraft manufacturer in the world; (2)

commercial aircraft satisfied its economic variable (profit per aircraft model); and (3) the company's managers were passionate about the move.

- A *bad* BHAG is one determined by hubris, without the steady and disciplined development of a Hedgehog Concept.

Must We All Strive for Greatness?

Before the transition point, both the good-to-great companies and their comparisons were either tracking or slightly bettering the general market return. But this didn't feel enough.

Why try to build something great?

Collins has two answers:

#1: Greatness requires no more (and sometimes less) effort than goodness.

Although fewer companies reach greatness overall, the actual procedures necessary to achieve greatness—hiring the right people, developing a Hedgehog Concept, maintaining discipline—aren't prohibitively painful.

Think about the "stop doing" list: **Many of the reforms necessary to achieve greatness actually involve reducing energy output and waste.**

#2: If you feel like what you do has purpose, the quest for greatness is a given.

The Level 5 executives Collins interviewed strived for greatness not for accolades or material rewards but rather for *the sake of greatness itself*.

They believed deeply in their mission and the mission of their companies, and **because they felt like what they did had profound meaning, they wanted to do it as best they could.** It would never occur to them to settle for "just OK."

If, at your job or in another area of your life, you find yourself content to float in the middle of the pack, it stands to reason that that part of your life doesn't excite your imagination and passion. Remember hedgehog thinking: **Greatness requires great enthusiasm.** If you're doing something you love, you can't help but want to be great at it.

And once you start doing meaningful work, you will find yourself on the path to having a meaningful life and feeling like you made a contribution. Collins ends the book on a reflective note, saying that the greatest satisfaction is knowing that your short time alive meant something.

Exercise: Core Ideology and BHAGs

Use these exercises to explore your core ideology and Big Hairy Audacious Idea.

In the space below, write down your core purpose and three core values. (These can be the core purpose/values of your business, your position at your job, or yourself a person.)

Now, using the area of your life you used in the question above, write down the BHAG you'd like to achieve in that area.

If you've completed the Hedgehog Concept exercises, examine your BHAG in relation to your Hedgehog Concept. Are the two in alignment, or do they contradict one another? Why? And how might you change your BHAG to match your Hedgehog Concept?

Exercise: Your Takeaways

Use this exercise to reflect on *Good to Great* as a whole.

Which of Collins's steps did you find most useful and why?

Which of Collins's steps did you find *least* useful and why?

Given your own life and work experience, how would you *change* Collins's program? Would you reorder the steps in any way? Would you remove a step entirely?

Review your answer to the previous question and, using Collins's steps as a loose guide, take a stab at designing *your own* six-step good-to-great program. You're welcome to think in terms of your personal life, your job life, or both!

